

M/s J.P.C. v. State of U.P. Thru Secy., Energy and Others

High Court of Judicature at Allahabad · Division Bench · 16 May 2023 · 2023:AHC:107779-DB · Writ - C No. 68647 of 2010 ·
Writ disposed; Divisional Commissioner to decide pending assessment appeal in six months

HEADNOTE

A 2010 writ seeking to declare a load-sanction notice and Clause 4.49 of the U.P. Electricity Supply Code, 2005 illegal, and to restrain recovery of a 2004 unauthorised-use assessment still pending in appeal, is not kept alive for a merits decision. The High Court disposed of the petition by directing the Divisional Commissioner, Meerut, to decide the already-filed appeal within six months, with the General Manager, Appellate Committee, to transmit the records at once. Deposits made to complete additional-load formalities remain subject to that appellate decision, as stipulated in the 25 November 2010 interim order that had directed sanction of additional load without a bank guarantee of the disputed assessment. The Court did not decide the vires of Clause 4.49, the legality of the 2010 notice or Office Memorandum, or the merits of the 2004 assessment.

FACTUAL SUMMARY

M/s J.P.C., a consumer of Paschimanchal Vidyut Vitran Nigam Limited, was assessed for unauthorised use of load by bill-cum-notice no. 5/02 dated 25 November 2004 for Rs. 8,83,413. It deposited one-third and appealed; after a High Court remand the appeal, originally before the licensee's Regional Appellate Committee, was to be decided by the Divisional Commissioner, Meerut. While that appeal remained pending the petitioner sought additional load. A notice dated 20 October 2010 (wrongly transcribed in the petition as 10 October 2010) required load-sanction formalities within 15 days, and officers demanded the balance of the 2004 assessment and a bank guarantee of that amount under Clause 6 of an Office Memorandum dated 18 August 2010.

The writ sought to declare that notice and Clause 4.49 of the U.P. Electricity Supply Code, 2005 illegal, and to restrain recovery of Rs. 8,83,413. On 25 November 2010 the High Court directed sanction of the additional load without a bank guarantee of the disputed assessment, other charges remaining payable, subject to the final decision of the writ.

HOLDING-UNITS

HOLDING-UNIT · EA2003::127

pending assessment appeal to be decided; writ not kept pending

QUESTION

Should a writ challenging a load-sanction notice and Clause 4.49 be kept pending on merits when the consumer's appeal against the earlier unauthorised-use assessment remains undecided before the Divisional Commissioner?

HOLDING

No useful purpose is served by keeping the writ pending. The petition is disposed of with a direction to the Divisional Commissioner, Meerut Division, Meerut, to decide the petitioner's already-filed appeal against the 25 November 2004 assessment-cum-notice within six months; the General Manager, Appellate Committee, is to transmit the appeal records immediately. Any deposits made to complete additional-load formalities remain subject to that appellate decision as stipulated in the 25 November 2010 interim order. ¶ 6

FLAG The Court did not cite section 127 or a Code clause. Keyed to EA2003::127 as the statutory assessment appeal assigned in U.P. to the Divisional Commissioner (1/3rd pre-deposit and remand from the licensee's appellate committee are recited). Source concatenates the 25.11.2010 interim (Sheo Kumar Singh and Rajesh Chandra, JJ.) with this 16.5.2023 disposal.

HOLDING-UNIT · UP-2005::4.49

additional load — deposits while assessment appeal pending

HOLDING

Disposing the writ, the Court directed that deposits made to complete formalities for additional load remain subject to the appellate authority's decision as stipulated in the 25 November 2010 interim order, which had directed the

respondents to sanction the additional load without insisting on a bank guarantee of the amount due under the earlier assessment-cum-notice then pending in appeal, other charges and formalities remaining payable. ¶ 5-6

FLAG Clause 4.49 was named only in the prayer (to be declared illegal and arbitrary). The 2023 court did not construe the clause or decide vires. The additional-load direction originates in the 25.11.2010 interim and is adopted only as to deposits remaining subject to the appeal.

PRINCIPLE TAGS

relegate-to-statutory-remedy The 2010 writ against the load-sanction notice and Clause 4.49 was disposed without a merits decision, by directing the Divisional Commissioner to decide the already-filed assessment appeal within six months. ¶ 6

alternate-remedy-section-127-appeal-bars-writ Challenge to recovery of the 2004 unauthorised-use assessment and to insistence on a bank guarantee of that amount for additional load was left to the pending appeal before the Divisional Commissioner rather than decided on the writ. ¶ 6

final-assessment-order-relegates-assessee-to-section-127-appeal The assessment-cum-notice of 25 November 2004 remaining the subject of a pending appeal, the High Court would not decide the demand in writ and directed that appeal to be decided within six months. ¶ 6

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VIRES AND LEGALITY OF CLAUSE 4.49 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005

The writ prayed that Clause 4.49 be declared illegal and arbitrary; the 2023 court did not construe or decide that challenge. ¶ 2,6

NOT DECIDED — LEGALITY OF THE NOTICE DATED 20 OCTOBER 2010 AND OF CLAUSE 6 OF THE OFFICE MEMORANDUM DATED 18 AUGUST 2010

Prayed to be declared illegal / restrained; not examined on merits. ¶ 2-4,6

NOT DECIDED — MERITS AND QUANTUM OF THE 25 NOVEMBER 2004 ASSESSMENT OF RS. 8,83,413, AND WHETHER THE BALANCE CAN BE DEMANDED PENDING APPEAL

Left to the Divisional Commissioner on the already-filed appeal. ¶ 3-4,6